

Financial Accounting

Mumbai University Course Syllabus

Module 1: Accounting Principles and Bookkeeping

- Generally Accepted Accounting Principles (GAAP) and Accounting Standards
- Double-Entry bookkeeping system, journalizing, and posting to ledger
- Trial Balance preparation and rectification of accounting errors

Module 2: Preparation of Financial Statements

- Trading Account and Profit and Loss Account preparation
- Balance Sheet formulation with standard adjusting entries
- Treatment of depreciation, outstanding expenses, and closing stock

Module 3: Depreciation and Inventory Valuation

- Depreciation methods: Straight Line Method (SLM) and Written Down Value (WDV)
- Inventory valuation models: FIFO, LIFO, and Weighted Average Cost (WAC)
- Impact of valuation methods on financial performance

Module 4: Partnership Accounts

- Partnership deed, profit sharing ratios, and capital accounts
- Accounting for admission, retirement, and death of partners
- Dissolution of partnership firms and piecemeal distribution

Module 5: Company Accounts

- Issue of equity shares, share application, allotment, and calls
- Forfeiture and reissue of shares
- Issue and redemption of preference shares and debentures

Module 6: Financial Statement Ratio Analysis

- Liquidity ratios: Current Ratio, Quick Ratio
- Profitability ratios: Gross Profit Ratio, Net Profit Ratio, ROCE
- Solvency and activity ratios, Cash Flow Statement basics